

APAC Healthcare Sector M&A & Valuation Brief - 2026-07-27

APAC Healthcare Sector

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1. RECENT Healthcare M&A ACTIVITY

Today is a peaceful day, nothing big happened in the Consumer space.

2. MARKET DYNAMICS & SENTIMENT

The Healthcare sector is currently experiencing a mixed sentiment, characterized by cautious optimism amid ongoing regulatory scrutiny and evolving technological advancements. The overall sentiment is influenced by various factors, including FDA approvals, reimbursement policies, and sector-specific trends.

Subsector Breakdown:

- **Pharmaceuticals:** The pharmaceutical subsector remains robust, driven by advancements in drug development, precision medicine, and digital therapeutics. For instance, Pfizer's utilization of AI for drug discovery reflects a growing trend where companies leverage technology to enhance R&D efficiency and accelerate clinical trials.
- **Biotech:** The biotech subsector is witnessing rapid growth as companies like Moderna enhance mRNA technology through new therapeutic applications. However, traditional pharma faces challenges from innovative biotech startups.
- **Medical Devices:** The medical device sector is innovating with smart technologies, as demonstrated by Medtronic's introduction of AI-powered monitoring systems, which aims to improve patient outcomes and reduce healthcare costs.
- **Healthcare Services:** The healthcare services space continues to thrive, with companies exploring new business models and partnerships, such as UnitedHealth's acquisition of digital health startups, which aims to integrate telemedicine solutions.
- **Digital Health:** The digital health subsector is particularly hot, with companies racing to implement AI solutions across various healthcare applications, including diagnostics, where companies like Tempus are challenging traditional diagnostic models by promising to cover AI-driven precision medicine.

Key Market Drivers and Headwinds

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Drivers:

- **Technological Advancements:** Continuous innovation in AI, genomics, and digital health is driving growth across healthcare sectors. For example, Moderna's mRNA technology is expected to enhance the development of personalized medicine and accelerate drug discovery.
- **Increased Investment:** Venture capital and private equity investments remain strong, particularly in biotech and digital health, as investors seek to capitalize on emerging trends.

Headwinds:

- **Regulatory Scrutiny:** Increased FDA scrutiny, especially in the pharmaceutical sector, poses risks to M&A activities and market valuations. Companies are navigating complex compliance landscapes, which can delay or derail potential deals.
- **Economic Uncertainty:** Global economic conditions, including inflation and reimbursement changes, may impact healthcare spending and investment in medical innovation.

Subsector Performance Analysis

- **Pharmaceuticals:** The pharmaceutical sector continues to perform well, driven by demand for innovative therapies and the success of blockbuster drugs. Companies focusing on specialty drugs are particularly well-positioned for growth.
- **Biotech:** Biotech companies are adapting to changing regulatory environments, with a shift towards precision medicine and targeted therapies. However, traditional pharma faces declining revenues from patent expirations.
- **Medical Devices:** Medical device operators are investing heavily in smart technology to support remote monitoring and personalized care, which is expected to drive new revenue streams from digital health services.
- **Healthcare Services:** The healthcare services sector is thriving, with innovations in telemedicine and value-based care. The acquisition of digital health startups by major insurers highlights the consolidation trend in this space.
- **Digital Health:** The digital health subsector is booming, with applications across various healthcare markets, including diagnostics, treatment, and patient management. Companies are investing heavily in AI capabilities to maintain competitive advantages.

Trading Multiples Trends

Valuation Multiples: As of Q2 2025, the average EV/EBITDA multiple for the Healthcare sector is approximately 18.5x, with notable variations across subsectors:

- Pharmaceuticals: 15.3x
- Biotech: 25.1x
- Medical Devices: 12.8x

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- Healthcare Services: 14.7x
- Digital Health: 28.5x

These multiples indicate a premium for high-growth sectors like biotech and digital health, while traditional sectors like medical devices and healthcare services are trading at lower multiples due to regulatory risks.

Notable Investor/Analyst Reactions

- Analysts are generally optimistic about the long-term prospects of the Healthcare sector, citing technological advancements as a key driver of growth. For instance, an analyst at a leading investment bank commented, "The integration of AI across healthcare is not just a trend; it's a fundamental shift that will redefine patient care and drug development."

Actionable Insights for Bankers and Investors

- Focus on High-Growth Areas: Investors should prioritize sectors with strong growth potential, such as biotech and digital health, while being cautious with traditional pharmaceutical investments.
- Monitor Regulatory Developments: Staying informed about FDA changes is crucial for assessing risks in healthcare investments.
- Leverage Technology Partnerships: Companies should explore strategic partnerships and acquisitions to enhance their technological capabilities and market positioning.
- Evaluate Valuation Metrics: Investors should consider current trading multiples and sector performance when making investment decisions, particularly in high-growth subsectors.

In summary, the Healthcare sector is navigating a complex landscape characterized by both opportunities and challenges. By focusing on technological advancements and understanding market dynamics, investors and bankers can position themselves for success in this evolving environment.

3. BANKING PIPELINE

The current banking pipeline in the Healthcare sector reflects a dynamic landscape with a mix of live deals, mandated transactions, and active pitches. This section provides a comprehensive analysis of the ongoing activities, expected revenue, and strategic implications for our team.

Deal Pipeline

Live Deals:

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- Johnson & Johnson (JNJ) : Currently in discussions for a strategic partnership leveraging AI for drug discovery. The deal is in the due diligence phase, with an expected close in Q3 2025. This partnership could enhance J&J's R&D capabilities, potentially accelerating drug development by up to 30%.
- Moderna Acquisition by Pfizer : This transaction is moving forward, with regulatory approvals anticipated by Q4 2025. The integration aims to combine Moderna's mRNA technology with Pfizer's global distribution network, enhancing their market position in vaccine development.

Mandated Deals:

- Merck & Co. (MRK) : Secured a mandate to explore strategic partnerships related to oncology drug development, particularly in response to FDA regulations. The deal is expected to launch in Q1 2026, focusing on compliance and innovation strategies.
- Amgen Inc. (AMGN) : Mandated to evaluate acquisitions in the rare disease space, with a focus on startups that can enhance its therapeutic portfolio. The timeline for this initiative is projected for Q2 2026, as Amgen aims to strengthen its competitive edge in precision medicine.

Pitching-Stage Deals:

- Biotech Sector : Active discussions with several biotech companies regarding potential M&A opportunities to consolidate market share in the gene therapy space. Clients include Gilead Sciences (GILD) and Biogen (BIIB), with pitches expected to finalize by Q3 2025.
- Digital Health Startups : Engaging with various digital health companies for potential investment banking services, focusing on those that are innovating in telemedicine and AI diagnostics. Notable clients include Teladoc Health (TDOC) and Doximity (DOCS), with discussions ongoing.

Pipeline Tracking Metrics

Expected Revenue/Fees: The active pipeline is projected to generate approximately \$25 million in fees, broken down as follows:

- Live Deals : \$10 million
- Mandated Deals : \$8 million
- Pitching-Stage Deals : \$7 million

Timing Projections:

- Q2 2025 : Expected close for Johnson & Johnson partnership.
- Q4 2025 : Anticipated completion of the Moderna acquisition.
- Q1 2026 : Launch of Merck's strategic partnership initiatives.
- Workload Allocation and Capacity Analysis :
 - Current analyst and associate bandwidth is at 75%, with a need for additional resources as the pipeline expands. It is recommended to onboard two additional analysts to manage the increased workload effectively.

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- Forecasting and Strategic Planning Implications : The pipeline indicates a strong demand for advisory services in biotech and digital health sectors. Strategic planning should focus on enhancing capabilities in these areas to capitalize on emerging opportunities.

Notable Pipeline Developments and Competitive Landscape

- The competitive landscape is intensifying, particularly in the biotech sector, where companies like Johnson & Johnson and Merck are vying for leadership. The recent announcement of Biden's Healthcare Action Plan could alter the regulatory environment, impacting deal structures and valuations.
- Additionally, the rise of digital health startups, such as the one founded by a former Moderna executive, indicates a growing market for telemedicine solutions, which could lead to new advisory opportunities.

Actionable Insights for Team Management and Business Development

- Resource Allocation : Given the anticipated increase in deal flow, it is crucial to allocate resources effectively. Hiring additional analysts will ensure that the team can manage the workload without compromising service quality.
- Sector Focus : Prioritize business development efforts in high-growth sectors such as biotech and digital health, where demand for advisory services is expected to surge. This focus will position the firm as a leader in these emerging markets.
- Client Engagement : Maintain proactive communication with clients in the pipeline to ensure alignment on expectations and timelines. Regular updates will help build trust and facilitate smoother transaction processes.

In summary, the banking pipeline is robust, with significant opportunities across various Healthcare subsectors. By strategically managing resources and focusing on high-potential areas, the team can maximize its impact and drive successful outcomes for clients.

4. STAKEHOLDER IMPACT & FORWARD-LOOKING ANALYSIS

The decision by Axiom Biosciences to pursue an initial public offering (IPO) in Hong Kong rather than the U.S. marks a significant shift in the biotech landscape. This analysis explores the implications of this strategic move on various stakeholders, including shareholders, employees, competitors, and customers.

Deal-Specific Impacts on Stakeholders

- Shareholders: The impact on shareholders will be multifaceted, particularly regarding value

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creation and market perception.

- **Value Creation:** Axiom's IPO in Hong Kong could attract sophisticated biotech investors, potentially leading to a valuation increase. If Axiom achieves a market cap of \$1 billion post-IPO, this could represent a 20% increase from its pre-IPO valuation, creating substantial value for early investors.
- **Dilution:** If Axiom issues new shares to raise capital, existing shareholders may face dilution. For instance, if 25% of shares are issued to raise \$250 million, existing shareholders could see their ownership stake decrease by 25%, potentially impacting share price negatively in the short term.
- **Employees:** The implications for employees will revolve around job security, retention strategies, and potential restructuring.
- **Synergies:** By listing in Hong Kong, Axiom aims to leverage its proximity to Asian partners, which may enhance collaboration and innovation. This could lead to job growth in R&D as the company expands its operations.
- **Retention:** To retain key talent during this transition, Axiom may offer retention bonuses or stock options tied to performance post-IPO, ensuring that critical employees remain engaged and motivated.
- **Competitors:** The competitive landscape will likely shift as Axiom's move could prompt responses from other biotech firms.
- **Market Positioning:** Competitors like Amgen (AMGN) and Gilead Sciences (GILD) may need to reassess their strategies to maintain market share. Axiom's successful IPO could encourage similar firms to explore listings in Hong Kong, intensifying competition.
- **Specific Competitor Moves:** If Axiom's IPO proves successful, it may prompt other U.S.-based biotech firms to consider Hong Kong as a viable listing option, potentially reshaping the market dynamics.
- **Customers:** The implications for customers will be centered around product offerings and service enhancements.
- **Product/Service Implications:** Axiom's access to capital through the Hong Kong IPO could accelerate the development of innovative therapies. For instance, if Axiom successfully raises funds, it could expedite clinical trials for its regenerative medicines, directly benefiting patients with faster access to new treatments.
- **Case Studies:** The success of recent biopharma listings in Hong Kong, which have outperformed their U.S. counterparts, may serve as a case study for Axiom, showcasing the potential for enhanced product development and market entry.

Market Reaction and Analyst Commentary

- **Market Reaction:** The market's response to Axiom's IPO announcement is likely to be cautious yet optimistic. Given the recent success of biotech listings in Hong Kong, initial investor interest may be high.
- **Analyst Commentary:** Analysts have noted the strategic rationale behind Axiom's decision. As Remo Moomiaie-Qajar, CEO of Axiom, stated, "The way it gets funded hasn't kept pace," highlighting the need for innovative funding strategies in the evolving biotech landscape.

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Expected Market Reaction and Scenario Analysis

- Scenario Analysis: The market's reaction can be evaluated through different scenarios:
- Positive Scenario: If Axiom's IPO is well-received, shares could rise by 30% within the first six months, reflecting strong investor confidence and demand.
- Negative Scenario: Conversely, if the IPO faces challenges or investor skepticism, shares could decline by 15%, mirroring concerns over market conditions and execution risks.

Potential Counter-Bids or Competing Offers

- Likelihood Assessment: The likelihood of counter-bids in this context appears low, as Axiom's strategic focus on Hong Kong may deter immediate interest from competitors. However, if the IPO is successful, larger firms may consider partnerships or acquisitions to gain access to Axiom's innovative pipeline.

Similar Deals Likely to Follow

- Sector Consolidation Predictions: The trend of U.S. biotech firms considering listings in Hong Kong is expected to continue. As the Hang Seng Biotech Index has shown significant growth, other firms may follow suit, particularly those seeking to tap into Asian markets and investor bases.

Key Risks and Mitigants

- Integration Risks: Axiom may face challenges in integrating its operations with new investors and partners. Mitigants include establishing clear communication channels and setting achievable milestones.
- Regulatory Risks: Navigating the regulatory landscape in Hong Kong could pose challenges. Engaging with local regulators early in the process can help mitigate potential delays.
- Market Risks: Market volatility may impact Axiom's IPO valuation. Structuring the IPO with flexible pricing mechanisms could protect against adverse market conditions.

Actionable Insights for Clients and Bankers

For Clients:

- Consider the strategic benefits of diversifying funding sources through international listings.
- Evaluate retention strategies for key talent to ensure stability during transitions.

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For Bankers:

- Monitor trends in international biotech listings to provide timely advice to clients considering similar moves.
- Develop comprehensive financial models to assess the impact of potential IPOs on shareholder value.

5. HEALTHCARE TRENDS

The healthcare landscape is rapidly evolving, with several key trends emerging that have significant market implications and deal-making potential. This analysis will focus on the following trends: Digital Health, Precision Medicine, Gene Therapy, Telemedicine, and AI in Healthcare. Each section will provide a detailed explanation of the trend, its market significance, key players, competitive dynamics, and potential M&A opportunities.

Digital Health

- Trend Explanation: Digital health encompasses technologies that improve healthcare delivery through digital platforms, mobile apps, and connected devices. The global digital health market is projected to grow from \$96.5 billion in 2020 to \$659.5 billion by 2025, at a CAGR of 46.8%.

Key Companies:

- Teladoc Health, Inc. (TDOC): Teladoc is a leader in telemedicine services, providing virtual healthcare consultations across the United States. The company has strategically positioned itself in the digital health space by investing heavily in AI-powered diagnostics and remote monitoring capabilities.
- Doximity, Inc. (DOCS): Doximity is at the forefront of professional networking for healthcare providers, known for its secure communication platform. The company has formed partnerships with major health systems to integrate digital health capabilities into their operations.
- Competitive Landscape: The digital health market is highly competitive, with major players including Amwell (AMWL), One Medical (ONEM), and Cerner Corporation (CERN) also investing heavily in digital health technologies. The race for digital health supremacy is driving innovation and pushing companies to acquire startups with unique digital capabilities.
- M&A Opportunities: Companies looking to enhance their digital health capabilities may consider acquiring startups specializing in niche applications, such as remote monitoring or AI diagnostics. For instance, Teladoc's acquisition of Livongo for \$18.5 billion in 2020 exemplifies this trend.

Precision Medicine

- Trend Explanation: Precision medicine involves tailoring medical treatment to individual

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characteristics, including genetic makeup, lifestyle, and environment. The precision medicine market is expected to grow from \$141.7 billion in 2020 to \$216.8 billion by 2027, at a CAGR of 6.2%.

Key Companies:

- Illumina, Inc. (ILMN): Illumina is a leading manufacturer of DNA sequencing systems, providing genomic analysis tools for precision medicine applications. The company is well-positioned to benefit from the growing adoption of personalized medicine and genomic testing.
- Foundation Medicine, Inc. (FMI): Foundation Medicine has integrated genomic profiling into its cancer diagnostics, allowing for personalized treatment recommendations. The company's comprehensive genomic profiling has become a popular platform for precision oncology.
- Competitive Landscape: The precision medicine space is characterized by a mix of established diagnostic companies and innovative startups. Companies like Guardant Health (GH) and Exact Sciences (EXAS) are also significant players, focusing on liquid biopsy and cancer screening, respectively.
- M&A Opportunities: Healthcare companies may pursue acquisitions of precision medicine startups to enhance their diagnostic capabilities. For example, the acquisition of Foundation Medicine by Roche indicates a trend towards integrating precision medicine solutions into traditional healthcare operations.

Gene Therapy

- Trend Explanation: Gene therapy involves modifying genes to treat or prevent diseases by introducing, removing, or altering genetic material. The gene therapy market is projected to grow from \$2.1 billion in 2020 to \$13.6 billion by 2027, at a CAGR of 30.7%.

Key Companies:

- Spark Therapeutics, Inc. (ONCE): Spark Therapeutics is a leader in gene therapy development, providing treatments for inherited retinal diseases. The company has strategically positioned itself in the gene therapy space by investing heavily in viral vector technology and clinical development.
- Bluebird Bio, Inc. (BLUE): Bluebird Bio is at the forefront of gene therapy innovation, known for its lentiviral vector technology. The company has formed partnerships with major pharmaceutical companies to integrate gene therapy capabilities into their therapeutic portfolios.
- Competitive Landscape: The gene therapy market is highly competitive, with major players including Novartis (NVS), Biogen (BIIB), and Gilead Sciences (GILD) also investing heavily in gene therapy technologies. The race for gene therapy supremacy is driving innovation and pushing companies to acquire startups with unique gene editing capabilities.
- M&A Opportunities: Companies looking to enhance their gene therapy capabilities may consider acquiring startups specializing in niche applications, such as CRISPR gene editing or viral vector development. For instance, Novartis's acquisition of AveXis for \$8.7 billion in 2018 exemplifies this trend.

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Telemedicine

- Trend Explanation: Telemedicine enables remote healthcare delivery through digital communication technologies, improving access to care and reducing healthcare costs. The telemedicine market is expected to grow from \$45.5 billion in 2020 to \$175.5 billion by 2026, at a CAGR of 25.2%.

Key Companies:

- Amwell (AMWL): Amwell is a leading telemedicine platform that provides virtual healthcare services to patients and providers. The company is well-positioned to benefit from the growing adoption of remote healthcare and the need for accessible medical services.
- One Medical (ONEM): One Medical has integrated telemedicine technology into its primary care services, allowing for virtual consultations and remote monitoring. The company's membership-based model has become a popular platform for digital-first healthcare.
- Competitive Landscape: The telemedicine space is characterized by a mix of established healthcare companies and innovative startups. Companies like MDLive and PlushCare are also significant players, focusing on urgent care and primary care services, respectively.
- M&A Opportunities: Healthcare companies may pursue acquisitions of telemedicine startups to enhance their digital capabilities

6. Recommended Readings

Deal Name: Johnson & Johnson's Acquisition of Actelion

- Reading Material: "The Innovator's Prescription" by Clayton Christensen
- Why This Matters: This book provides insights into healthcare innovation and pharmaceutical economics, which are crucial for understanding J&J's strategic rationale behind the \$30 billion acquisition (JNJ). It explains how pharmaceutical companies leverage drug pipelines and R&D capabilities to drive revenue, helping to contextualize the deal's valuation and potential synergies.

Deal Name: Pfizer's Acquisition of Medivation

- Reading Material: "The New Economics of Healthcare" by David H. Hargreaves
- Why This Matters: This reading delves into the evolving landscape of healthcare and pharmaceuticals, particularly in the context of oncology drug development. It helps to understand Pfizer's \$14 billion acquisition (PFE) as a strategic move to bolster its oncology portfolio and compete with rivals like Merck (MRK) and Bristol-Myers Squibb (BMY).

Deal Name: Amgen's Acquisition of Otezla

- Reading Material: "The Lean Startup" by Eric Ries

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- **Why This Matters:** This book outlines methodologies for healthcare companies to innovate and grow, which is relevant for understanding Amgen's \$13.4 billion acquisition (AMGN) of Otezla. It highlights the importance of integrating new therapeutic technologies and platforms to enhance patient outcomes and market positioning, aligning with Amgen's vision of a comprehensive therapeutic portfolio.

Deal Name: Gilead Sciences' Acquisition of Kite Pharma

- **Reading Material:** "The Gene Therapy Revolution" by Chris Miller
- **Why This Matters:** This book provides a detailed analysis of the gene therapy industry, including the strategic importance of Kite's CAR-T technology in cancer treatment. Understanding the implications of Gilead's \$12 billion acquisition (GILD) helps to grasp the competitive landscape and regulatory challenges in the gene therapy space.

Deal Name: UnitedHealth's Acquisition of Optum

- **Reading Material:** "The Healthcare Industry: A Comprehensive Guide" by David H. Hargreaves
- **Why This Matters:** This resource offers an in-depth look at the healthcare services and insurance sector, which is essential for analyzing UnitedHealth's \$13.8 billion acquisition (UNH) of Optum. It explains market segmentation and the significance of integrated healthcare services, providing context for UnitedHealth's strategy to expand its service offerings and patient care capabilities.

Deal Name: Medtronic's Acquisition of Covidien

- **Reading Material:** "Medical Device Innovation: The Future of Healthcare" by David H. Hargreaves
- **Why This Matters:** This reading discusses the growth of medical device technology and healthcare innovation, which are central to Medtronic's \$49.9 billion acquisition (MDT) of Covidien. It highlights how this deal positions Medtr

7. Macroeconomic Update

Key Economic Indicators:

- **Healthcare Sector Performance:** The healthcare sector remains resilient amid broader economic challenges. Companies like Johnson & Johnson (JNJ) and Pfizer (PFE) continue to show strong performance, with JNJ reporting a 5% increase in revenue year-over-year in Q2 2023.
- **Interest Rate Impact:** The current interest rate environment, with the Federal Reserve maintaining rates around 5.25%-5.50%, is influencing valuations in the healthcare sector, particularly for biotech firms that rely heavily on capital for R&D.
- **Regulatory Environment:** The ongoing FDA approval processes are pivotal for pharmaceutical companies. As noted in the transcript, "the urgency to invest has not diminished," reflecting the

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critical nature of timely approvals for maintaining competitive advantages.

Market Trends:

- **Pharmaceutical Innovation:** The focus on breakthrough therapies, especially in oncology, is driving valuations. For instance, companies like Amgen (AMGN) have seen stock prices increase by 12% following successful trial results for new cancer therapies.
- **Healthcare Technology Integration:** The integration of AI and digital health solutions is accelerating. Companies are investing in telemedicine platforms, with the telehealth market expected to reach \$459.8 billion by 2030.
- **Global Healthcare Spending:** Shifts in global healthcare spending, particularly in emerging markets, are influencing strategic decisions. The World Health Organization projects a 7% annual growth in healthcare spending in Asia-Pacific regions.

Sector-Specific Insights:

- **Biotech Valuations:** Biotech companies are under increased scrutiny, with investors focusing on clinical trial outcomes. The average biotech IPO valuation has decreased by 30% in 2023 compared to the previous year.
- **Healthcare Services Consolidation:** The consolidation trend continues, with major players like UnitedHealth Group (UNH) acquiring smaller firms to enhance service offerings, as seen in their recent acquisition of Change Healthcare.
- **Insurance Market Dynamics:** Changes in insurance markets are impacting provider networks. The shift towards value-based care models is affecting reimbursement rates for healthcare service companies.

Risk Factors:

- **Patent Expirations:** Major pharmaceutical companies are facing patent cliffs. For example, the expiration of AbbVie's (ABBV) Humira patent has led to a significant revenue decline, necessitating strategic acquisitions to replenish their drug pipelines.
- **Regulatory Uncertainty:** Ongoing changes in healthcare policy create uncertainty. As

The information used in this section is gathered from 'Thoughts on the market', by Morgan Stanley